SUMMARY · MK 1 ORGANIZATIONAL BEHAVIOR & MANAGING PEOPLE · WEEK 9

Organization Design & Strategic Workforce Planning

The opening puzzle: if everyone is competent and working hard, why does the organisation still fail to deliver? The answer often lies beyond individual performance — in organisation design: how work, roles, authority and coordination are arranged. This week follows the storyline strategy → organisation design → capabilities → workforce plan → execution. It covers what organisation design is, Galbraith's Star Model, structural and operating questions, four structures (functional, divisional, matrix, platform/network) and their trade-offs, decision rights and a decision architecture, centralise vs decentralise, and the "hidden operating model" (cross-functional processes, incentives, informal networks). Part two builds strategic workforce planning: six steps, capability vs headcount, a workforce demand model, three scenarios, the supply side, five responses to a gap (build, buy, borrow, bot, bind), making it financially credible, and what to measure 90 days after a reorganisation.

Material

1 The opening puzzle and today's storyline

The opening puzzle

"If everyone is competent and working hard, why does the organisation still fail to deliver?" — Think beyond individual performance.

Earlier weeks focused on individuals and teams (personality, motivation, leadership, power). This week moves up a level: the **system** people work in. Great people in a bad system will be beaten by the system.

01 Strategy → 02 Organisation design → 03 Capabilities → 04 Workforce plan → 05 Execution

By the end you should be able to: diagnose a misfit between strategy and organisation design; compare structural options and their trade-offs; identify decision-rights and coordination bottlenecks; build a basic strategic workforce plan; and recommend a feasible 90-day intervention.

Provocation

"The organisation chart tells you who reports to whom. It rarely tells you how work really gets done." Missing from the chart: decision flows, information flows, incentives and informal networks.

2 What organisation design is, and Galbraith's Star Model

Organisation design is:

- A *deliberate* configuration of work, roles, authority and coordination.
- A choice about how decisions are made and escalated.
- A way to align incentives, information and people with strategy.
- A set of **trade-offs** — not a search for one perfect structure.

Jay Galbraith's Star Model names five points that must be aligned:

1. Strategy

Direction and how to win. Sets the design criteria: what the organisation must be good at.

2. Structure

Where power and decisions sit: grouping of units, span of control, centralisation.

3. Processes

How information and decisions flow across units: planning, budgeting, lateral coordination.

4. Rewards

Which behaviours are measured and rewarded: KPIs, bonuses, promotion, recognition.

5. People

The skills and mindsets needed: hiring, development, rotation.

The key is **alignment**. Changing structure alone without changing processes, incentives and people often fails. Example: a company creates a cross-product "customer solutions" unit (structure) but still pays bonuses by product line (rewards) — managers keep prioritising their own product.

3 Design questions and four structures with their trade-offs

Design starts from **what problem we are solving**, not from the shape of the chart.

Operating questions Who decides, and when? How does information flow? What gets rewarded? Which capabilities are missing?

Design	Strength	Typical risk	Fits when
Functional (finance, operations, marketing…)	Scale; specialist depth	Silos; slow integration	Few, stable products/markets; efficiency matters
Divisional / BU (by product, region, customer)	Clear market accountability	Duplication; fragmented standards	Many different markets; responsiveness needed

Matrix (two reporting lines)	Shared resources; integration	Dual bosses; conflict	Deep expertise and market focus both needed
Platform / network	Flexibility; speed	Ambiguous interfaces; control	Fast-changing environment; many partners

No structure is problem-free. The choice is which problems you want to own, then adding mechanisms to reduce the weaknesses — e.g. a functional structure plus cross-functional teams for strategic projects, or a matrix with clear decision-rights rules to reduce dual-boss conflict.

4 Decision rights and a decision architecture

A decision-rights test
"If two executives both think they own a decision, nobody really owns the outcome." Where are decisions getting stuck?

The slides' practical decision architecture separates roles in every important decision:

01 Recommend — prepare the proposal and analysis

→ 02 Input — give views, but no veto

→ 03 Decide — one party decides and is accountable

→ 04 Execute — carry out the decision

→ 05 Review — assess results and learn

This resembles Bain's **RAPID**: Recommend, Agree, Perform, Input, Decide. The core of both: every important decision needs *one* person holding the "D". Input from many is good; approval from many is often the source of delay.

Symptom of a decision-rights problem	Fix

Decisions are discussed in meeting after meeting without closure	Name one "Decide" owner and a deadline
Decisions already made get reopened by another unit	Separate "Input" (heard) from "Agree/veto" (must consent) — limit vetoes
Everything escalates to the board	Delegate with clear value/risk thresholds (an authority matrix)
Nobody checks whether decisions proved right	Add a "Review" step with metrics agreed up front

5 Centralise or decentralise?

Reasons to decentralise Local market responsiveness; speed close to customers; context-specific knowledge; clear business accountability.

The answer is rarely "all central" or "all local". It is usually by *type of decision*:

Decision type	Usually	Why
Key raw-material procurement, safety standards, core IT, treasury	Central	Scale, standards, enterprise risk
Local pricing, promotions, customer service, frontline hiring	Local	Speed and context knowledge

Large investments	Local proposes, centre decides within thresholds	Balance local knowledge with capital discipline

In state-owned groups/holdings this question is very real: what the holding controls (e.g. treasury, governance standards, core talent) and what is left to subsidiaries (operations and customers).

6 The hidden operating model

- **Formal hierarchy is only one** of many coordination mechanisms.
- **Cross-functional processes** often determine execution speed more than structure does.
- **Incentives** can reward local optimisation over enterprise value (e.g. procurement judged on lowest price, though cheap inputs raise production cost).
- **Informal networks** can accelerate or obstruct decisions (see Social Network Analysis in MK6 week 8: high-betweenness people are bridges and weak points at once).
- **Governance** should enable sound decisions, not merely add approvals.

≡ **"An organisation can be technically capable — and institutionally unable to act."**
What constrains managerial judgement? Often not a lack of expertise, but layers of approval, conflicting incentives and fear of blame.

7 Executive dilemma: expertise without decision authority

An illustrative composite from the slides — not a claim about any particular organisation.

The strategic problem	The design friction	The people consequence

An energy business needs faster investment decisions to replenish its project pipeline.	Technical teams own the analysis, but approval authority is fragmented across multiple committees.	Strong specialists spend time navigating approvals rather than evaluating opportunities.

Discussion question: reorganise departments, clarify decision rights, or change the approval process first? What evidence would decide?

One way to answer (our analysis): start with **decision rights and the approval process**, not structure. The problem is in the decision flow (many committees), not the grouping of departments; reorganising is costly and slow and can move the problem without solving it. Evidence to gather: decision cycle time per stage, how many committees each project passes, how often proposals are sent back and why, and opportunities lost to delay. Intervention: one "Decide" owner per investment class, value thresholds for approval at each level, and a single integrated forum for cross-functional input. Reorganise only if decisions still stick afterwards because expertise sits in the wrong units.

8 Strategic workforce planning: six steps and capability vs headcount

01 Business scenarios → 02 Critical work → 03 Demand → 04 Supply → 05 Gaps → 06 Actions

From organisation design to workforce planning: once we know how the organisation must work, the next question is **which capabilities, how many, when, and from where**.

Strategic capability view What work must be done? Which skills are scarce? Where is critical experience? What can be automated or partnered?

Headcount is not capability. Two firms with 1,000 employees can differ hugely in capability. A plan that only counts heads cuts evenly in an efficiency drive and loses scarce expertise; a capability-based plan protects critical roles.

9 The demand model, three scenarios, and the supply side

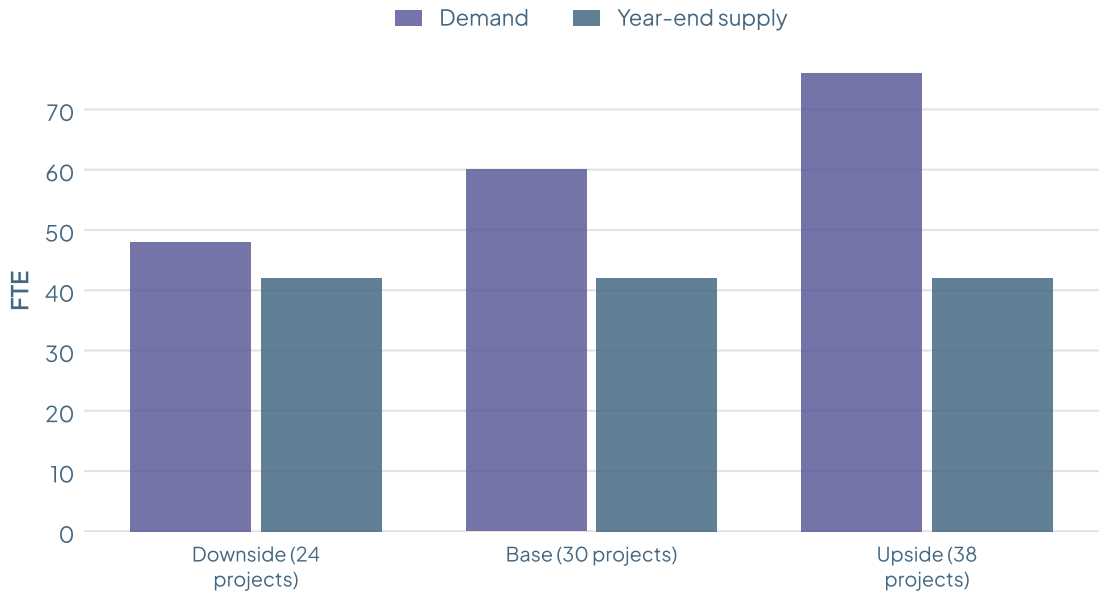
Driver	Illustrative question	Planning implication
Volume	How many projects / customers?	Capacity by role
Productivity	Output per person / team?	Process & technology
Skill mix	Which expertise is critical?	Build / buy / borrow
Timing	When will demand materialise?	Lead times & sequencing
Risk	What if the scenario changes?	Options and triggers

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People needed (FTE) = Volume × Work hours per unit ÷ Productive hours per person per year
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Three scenarios, not one forecast: base case, upside case, downside case. A good plan prepares actions for the base case and *triggers* to switch: e.g. "if three extra projects are approved, activate the expert-contractor agreement".

External supply Labour-market availability; hiring lead time; contractors and partners; education / talent pipelines.

Example engineer gap by scenario (illustrative)



Supply stays at 42 FTE after attrition and retirement; gaps of 6 / 18 / 34. See the practice in the Cases tab.

10 Five responses to a gap: build, buy, borrow, bot, bind

Response	Meaning	Strength	Weakness
Build	Develop existing people (training, rotation, mentoring)	Loyalty, culture kept, often cheaper	Slow — takes time to competence
Buy	Hire from outside	Fast access to ready expertise	Costly, culture-fit risk, tight talent market

Borrow	Contractors, consultants, partners, secondments	Flexible, suits temporary/upside needs	Knowledge may leave with them
Bot / automate	Automation and technology replace part of the work	Permanent productivity gain	Upfront investment, process change, impact on staff
Bind / retain	Keep critical talent (career, pay, recognition)	Prevents new gaps	Needs fair, clear differentiation

Making the plan financially credible:

- Translate roles into workload, productivity and cost assumptions.
- Separate one-off transition costs (hiring, training) from recurring costs (salaries, contracts).
- Compare building capability with outsourcing and technology options.
- Model uncertainty and *time-to-competence*.
- Tie the plan to business outcomes — not training hours.

11 The most common failure and what to measure 90 days later

> ! **The most common failure**
> "We reorganised the boxes. The decisions, incentives and skills stayed the same."

A reorganisation that only changes the chart almost always fails because the other four points of the Star Model didn't change. So a 90-day intervention should be measured by **behaviour and results**, not by finishing a new chart.

Area	Example 90-day measures
Decisions	Cycle time of key decisions; number escalated; number reopened
Coordination	Hand-off time between functions; share of cross-functional projects on time

Incentives	Are the new KPIs live and used in appraisals?
Capability	Critical roles filled; successor readiness; critical-talent attrition
Business results	Early indicators tied to strategy (e.g. projects passing investment decision)

A simple formula for a 90-day intervention

One clear strategic problem → one or two design changes (decision rights, process, incentives) → a named owner → 3–5 measures reviewed monthly.

Key takeaways

1. Organisations can fail even with competent people: the problem is often design (work, roles, authority, coordination).
2. Organisation design = a deliberate configuration; a set of trade-offs, not one perfect structure.
3. Galbraith's Star Model: strategy, structure, processes, rewards, people — they must align.
4. Functional (scale vs silos), divisional (market accountability vs duplication), matrix (integration vs dual bosses), platform (speed vs control).
5. Every important decision needs one "Decide" owner: recommend → input → decide → execute → review.
6. Centralise for scale, standards, scarce expertise, enterprise risk; decentralise for speed, local context, accountability.
7. The hidden operating model: cross-functional processes, incentives, informal networks, governance.
8. Strategic workforce planning: scenarios → critical work → demand → supply → gaps → actions. Headcount ≠ capability.
9. Five gap responses: build, buy, borrow, bot, bind. The plan must be financially credible with triggers between scenarios.
10. Common failure: reorganising the boxes without changing decisions, incentives and skills. Measure behaviour and results within 90 days.

Case studies

Case & worked answers

Practice: a project-engineer workforce plan at an energy SOE

An illustrative practice example, not from the slides. An energy SOE plans next year's need for project engineers. Each project needs about 3,000 engineer

hours; one engineer delivers about 1,500 productive hours a year. Project scenarios: downside 24, base 30, upside 38. There are 50 engineers today; attrition is 10% a year and 3 will retire.

1. **Demand** = projects × 3,000 ÷ 1,500 = projects × 2 → downside **48**, base **60**, upside **76** FTE.
2. **Supply** at year-end = 50 × (1 – 0.10) – 3 = **42** FTE.
3. **Gap**: downside 6, base 18, upside 34.
4. **Responses**: *bind* first (10% attrition = 5 people — keeping 2–3 senior engineers is cheaper than hiring); *build* 8 internal juniors (about 12 months to competence, so start now); *buy* 6–8 experienced engineers for the base case; *borrow* contractors/EPC partners for the gap to upside, triggered "if approved projects > 30"; *bot*: automate technical documents to raise productive hours.
5. **Productivity check**: if automation lifts productive hours from 1,500 to 1,650 (+10%), base demand falls from 60 to about 54.5 FTE — the base gap falls from 18 to about 12.5.

Lesson: the plan is not one hiring number but a mix of five responses with triggers between scenarios — and productivity matters as much as headcount.

Worked examples

Problem 1 · Medium **Computing workforce demand and gap**

A customer-service unit handles 240,000 tickets a year at an average of 30 minutes each. One agent is productive 1,600 hours a year. There are 80 agents today; attrition is 15%. What are the FTE demand, year-end supply and gap? What if a chatbot handles 25% of tickets?

1. ```
   FTE = Volume × Hours per unit ÷ Productive hours per person
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   = 240,000 × 0.5 ÷ 1,600 = 120,000 ÷ 1,600 = **75 FTE**.

2. Year-end supply = 80 × (1 – 0.15) = **68**. Gap = 75 – 68 = **7 FTE**.

3. With a chatbot (bot): human volume = 75% × 240,000 = 180,000 → FTE = 180,000 × 0.5 ÷ 1,600 = **56.25**. Supply 68 → a surplus of about 12 FTE.

4. The surplus doesn't mean automatic layoffs: pause replacement hiring (natural attrition), redeploy to other roles (e.g. complex complaints), and reskill (build).

Answer: Without chatbot: need 75, have 68, short 7. With a 25% chatbot: need about 56, surplus about 12.
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Problem 2 Challenging **Build vs buy: comparing costs**

10 data analysts are needed within 12 months. **Build**: train internal staff at IDR 60m/person, ready after 9 months; 50% productive during training. **Buy**: hire externally, IDR 40m recruitment per person, salary IDR 30m/month higher per person than internal pay, productive immediately. Compare first-year costs (assume an analyst's work is worth IDR 50m/month per person).

1. **Build**: training 10 × 60 = 600. Lost work value over 9 months (50% productive) = 10 × 9 × 50 × 50% = 2,250. Total ≈ **IDR 2,850m**.
2. **Buy**: recruitment 10 × 40 = 400. Salary premium 10 × 12 × 30 = 3,600. Total ≈ **IDR 4,000m** a year — and the premium recurs every year.
3. Build is about IDR 1,150m cheaper in year one and far cheaper afterwards, but slow. A sensible mix: *buy* 2–3 seniors to cover urgent needs and mentor, *build* the rest, and *bind* them once competent so the market doesn't poach them.

Answer: Build ≈ IDR 2,850m vs buy ≈ IDR 4,000m (year one); use a mix.

Practice questions

Try answering first. The answer key is below each question.

1. According to the slides, organisation design is best understood as…

A. Searching for one perfect structure
B. A deliberate set of trade-offs
C. Drawing the org chart
D. Purely an HR matter

Answer: B. Design = configuring work, roles, authority and coordination; there are always trade-offs.

2. The five elements of Galbraith's Star Model are…

A. Strategy, structure, processes, rewards, people
B. Vision, mission, values, culture, KPIs
C. Plan, do, check, act, review
D. Build, buy, borrow, bot, bind

Answer: A. All five must align; changing one without the others often fails.

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3. The typical risk of a functional structure is…

A. Duplication
B. Silos and slow integration
C. Dual bosses
D. Weak control

Answer: B. Its strengths are scale and specialist depth; its weakness, silos.

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4. The structure most prone to dual-boss conflict is…

A. Functional
B. Divisional
C. Matrix
D. Platform

Answer: C. A matrix shares resources through two reporting lines.

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5. Duplication and fragmented standards are the typical risk of…

A. Functional
B. Divisional / BU
C. Matrix
D. Flat hierarchy

Answer: B. Each division builds its own functions for market accountability.

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6. "If two executives both think they own a decision…"

A. …the decision is better
B. …nobody really owns the outcome
C. …it must go to the board
D. …a reorganisation is needed

Answer: B. The decision-rights test: every important decision needs one owner.

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7. The slides' practical decision architecture runs…

A. Decide → input → recommend → review → execute
B. Recommend → input → decide → execute → review
C. Input → execute → decide
D. Review → decide → recommend

Answer: B. Propose, gather input, one party decides, then execute and review.

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8. The reason that best supports decentralising is…

A. Economies of scale
B. Common standards and controls
C. Speed near customers and context knowledge
D. Scarce expertise

Answer: C. The other three are reasons to centralise.

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9. An example of the "hidden operating model" is…

A. Reporting lines on the chart
B. Incentives rewarding local optimisation over enterprise value
C. Department names
D. Headcount

Answer: B. Cross-functional processes, incentives, informal networks and governance aren't on the chart.

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10. In the energy executive dilemma (technical analysis stuck in many committees), the most sensible first step is…

A. Reorganise every department
B. Clarify decision rights and simplify approvals
C. Hire more engineers
D. Add a committee

Answer: B. The problem is the decision flow; measure cycle time per stage before changing structure.

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11. The six steps of strategic workforce planning are…

A. Scenarios → critical work → demand → supply → gaps → actions
B. Hire → train → appraise → promote → retire → evaluate
C. Supply → demand → scenarios
D. Budget → headcount → vacancies

Answer: A. Start from business scenarios and critical work, not headcount.

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12. A question from the capability view (not headcount) is…

A. How many employees?
B. What is the vacancy rate?
C. Which skills are scarce?
D. What is the average cost per employee?

Answer: C. Capability asks what work, which scarce skills, where critical experience is, and what can be automated.

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13. 30 projects × 3,000 hours ÷ 1,500 productive hours per person = … FTE

A. 20
B. 45
C. 60
D. 90

Answer: C. 90,000 ÷ 1,500 = 60 FTE.

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14. Why does a workforce plan use three scenarios?

A. To look thorough
B. A single forecast is almost surely wrong; scenarios + triggers prepare responses
C. The law requires it
D. To raise the budget

Answer: B. Base, upside, downside with triggers to switch.

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15. Using contractors to cover a temporary spike is which response?

A. Build
B. Buy
C. Borrow
D. Bind

Answer: C. Borrow: flexible, but knowledge can leave with them.

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16. The slowest response that preserves culture and loyalty is…

A. Build
B. Buy
C. Borrow
D. Bot

Answer: A. Build needs time to competence; start early.

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17. Making a workforce plan financially credible means all of these EXCEPT…

A. Separating transition and recurring costs
B. Modelling time to competence
C. Judging success by training hours
D. Comparing with outsourcing and technology

Answer: C. Slides: tie it to business outcomes, not training hours.

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18. "We reorganised the boxes, but decisions, incentives and skills stayed the same." This is…

A. A successful reorganisation
B. The most common failure in organisation design
C. A bind strategy
D. Decentralisation

Answer: B. Changing structure alone without the other Star Model elements.

Sources

- P3MD Week 9 MK1 — Organization Design & Strategic Workforce Planning (Student Version)
- Galbraith, J. — Designing Organizations (Star Model); Bain & Company — RAPID decision roles (supporting)